

people had some professional input but that the final judgments, up or down on interest rates, were left to him.

As gingerly as I could, I inquired about the overall accuracy of those final judgments. Right away, Mr. Kaufman went back to the major turn in August 1982, which he'd correctly predicted. He also recalled that he was "correctly bearish" in May 1983. When I asked about 1984–86, he freely admitted there'd been some trouble. I jotted down the following phrases: "I didn't see the economic slowdown," "I thought the economy would pick up," "What I recognize belatedly is that it wasn't a typical cyclical setting," "elements of discontinuity," and "rapidly changing financial system." He asked me to imagine how hard it would be to stand in the middle of the block and guess what was coming around the corner.

He confirmed that he continued to head up the Salomon Brothers research department and was still in great demand for predictions, so his reputation hadn't suffered. He said his recent resignation as vice chairman of Salomon Brothers' board of directors had nothing to do with erroneous forecasts. That was a management change resulting, in part, from an in-house disagreement over the worthiness of junk bonds.

I don't mean to belittle an intelligent, well-respected economist. That Mr. Kaufman commanded big audiences and a big salary, plus all the front-page attention throughout his recent losing streak, was proof that forecasting is a difficult business, where errors are commonplace and widely tolerated. I'd noticed from my packet that he rarely spoke twice in the same city or to the same group. I doubted it was deliberate policy, but if I were him, I'd do the same thing.

Let us leave Mr. Kaufman predicting the further fall of long-term interest rates, a further sluggish economy, and continued easing by the Fed, with little risk of inflation in 1987. Perhaps there was a potential Contrarian strategy here—short Mr. Kaufman—by failing that, I'd developed a clear preference for the astrologer. Though I'd been fighting this all along, it was impossible to ignore the evidence, at least from Mr. Kaufman's side, that 350 helpers and the resources of a major Wall Street firm produced such thoroughgoing miscalculation that neither astrologers nor dart throwers